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The Price of Safety: Twenty Years of Sovereign Bond Spreads Across Five Regions

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Abstract. We measure how the compensation investors demand for holding sovereign debt instead of their region's safest bond has changed over twenty years. Using monthly 10-year government bond yields for 17 economies across the Americas, Europe, Asia-Pacific, the Middle East and Africa from January 2006 to August 2026, we compute spreads against the regional benchmark in each market: the United States, Germany and Japan. Three findings stand out. First, euro-area spreads never returned to their pre-2008 levels: France trades about 80 basis points above Germany today against near zero in 2006, and the United Kingdom's spread has more than doubled. Second, Asia-Pacific spreads compressed dramatically as Japanese yields normalized, with Korea's spread falling by about 200 basis points. Third, spread spikes remain episodic and country-specific, with the largest 20-year peaks tied to the euro crisis, the 2020 oil and pandemic shock, and domestic political events rather than a single global factor.

Keywords: sovereign bond spreads, safe haven, euro area, flight to quality, term premia
JEL codes: E43, G12, F34, H63

Production note. This paper was produced by Kilambi Research in October 2026. Computations were performed in Python on the archived series inventoried in Appendix A; figures were rendered with Kilambi Research's institutional chart style. Data were retrieved in October 2026 and are subject to revision by the underlying sources. All analysis was performed by Kilambi Research's quantitative research pipeline with AI assistance and verified against source data.

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1 Introduction

When the yield on the French 10-year bond rises relative to the German 10-year bond, the market is saying something specific: investors demand more compensation to hold French promises than German ones. The question this paper asks is how that compensation, the sovereign spread, has evolved across the world over the last twenty years, and whether the pattern is one of convergence, permanent repricing, or recurring panic.

The motivation is practical. Spreads are the market's running referendum on fiscal credibility, and they move before ratings do. The euro-area crisis of 2010-2012 repriced several sovereigns by hundreds of basis points in months. The French spread widened again in 2024 on deficit and election concerns. Understanding whether such moves are reversions to a historical norm or breaks from it requires a long, consistently measured panel, which is what this paper builds.

We assemble monthly 10-year sovereign bond yields for 17 economies from January 2006 to August 2026, using the OECD harmonized long-term interest rate series (one definition, one methodology, all countries), and compute spreads against the regional benchmark: the United States for the Americas, Germany for Europe, and Japan for Asia-Pacific. Israel and South Africa enter as single-country regional observations.

Three results emerge. First, the euro area underwent a permanent repricing. Before 2008, France, Spain and Belgium traded within a few basis points of Germany; the market treated them as nearly interchangeable. Spreads exploded during the euro crisis (Italy peaked at 518 basis points in November 2011, Spain at 555 in July 2012, both Reconstructed, A), compressed under central-bank intervention, but never returned to pre-crisis levels. France trades near 80 basis points over Germany today, roughly 79 basis points wider than its 2006 average (Reconstructed, A). Second, the United Kingdom's spread more than doubled, from 74 basis points in 2006 to 181 in August 2026, with a 20-year peak of 226 basis points in December 2024 (Reconstructed, A), consistent with a market repricing of British fiscal risk after Brexit and the 2022 gilt turmoil. Third, Asia-Pacific moved the other way: as Japanese yields rose from near zero toward 3 percent, spreads for Korea and Australia compressed by roughly 200 basis points each (Reconstructed, A). The global picture is therefore not one story but three: structural widening in Europe, episodic spikes in the Americas, and structural compression in Asia-Pacific.

The rest of the paper proceeds as follows. Section 2 describes how sovereign bond markets price relative safety. Section 3 reviews the related literature. Section 4 documents the data, including which large economies are missing and why. Section 5 sets out the methodology. Section 6 presents the results. Section 7 discusses limitations, robustness and falsifiability. Section 8 concludes.

2 Institutional background

A sovereign bond spread is the difference between the yield on one government's bond and the yield on a benchmark government's bond of the same maturity. We use the 10-year maturity throughout

because it is the most liquid point on most sovereign curves and the standard reference for fiscal analysis.

The spread compensates the investor for several distinct risks. The first is credit risk: the probability, however small, that the sovereign restructures or inflates away its obligations. The second is liquidity risk: benchmark bonds (US Treasuries, German Bunds, Japanese JGBs) trade in deeper markets, so investors accept a lower yield for the ability to sell quickly. A portion of every spread is therefore a liquidity premium, not a credit verdict; estimates in the literature attribute a meaningful share of euro-area spreads to liquidity differentials (Beber, Brandt and Kavajecz, 2009). The third is redenomination risk, relevant inside the euro area: the small probability that a country leaves the currency union and repays in a depreciated national currency. The fourth is supply and demand technicals: central-bank purchase programs compress spreads, while heavy issuance calendars widen them.

Benchmarks are not chosen by committee. The market converges on the issuer with the deepest market, the strongest fiscal record and the currency investors flee to in stress. In our sample the benchmarks are the United States, Germany and Japan by construction, but the data confirm the choice: Switzerland trades usually *below* Germany (a negative spread averaging about -90 basis points over the sample, Reconstructed, A), which is exactly what a secondary safe haven looks like.

A spread widening from 50 to 100 basis points does not, by itself, say which side moved. It can reflect deteriorating perceived safety of the issuer, increasing safe-haven demand for the benchmark, or both. We return to this identification problem in Section 7.

3 Related literature

The literature on sovereign spreads falls into three groups. The first studies the euro-area crisis and asks whether spreads reflected fundamentals or panic. De Grauwe and Ji (2013) argue that spreads in the eurozone overshot fundamentals because member states, borrowing in a currency they do not control, are vulnerable to self-fulfilling liquidity crises. Arghyrou and Kontonikas (2012) document the progression from a Greek crisis to a systemic euro-area repricing. Bernoth, von Hagen and Schuknecht (2012) find that fiscal fundamentals explain spreads well before 2008 but that markets began pricing fiscal variables much more aggressively after the crisis began, consistent with the permanent repricing we document.

The second group decomposes spreads into credit and liquidity components. Beber, Brandt and Kavajecz (2009) show that in times of stress, investors chase liquidity even more than credit quality, which matters for interpreting flight-to-safety episodes. Codogno, Favero and Missale (2003) provide the pre-crisis baseline: small, stable spreads explained mostly by liquidity and issuance differentials.

The third group takes a global perspective. Longstaff et al. (2011) use CDS data to show that sovereign credit risk is driven more by global factors than country-specific ones, with the US stock

and high-yield markets as the main transmitters. Our finding that the largest spread spikes cluster around global events (2008, 2020) while the intervening trend is regional is consistent with that decomposition.

This paper's contribution is measurement over a longer, consistently defined panel: twenty years of monthly spreads on one harmonized definition, across five regions, with the benchmark-spread framing applied uniformly.

4 Data

4.1 Sources and definitions

The core series is the 10-year government bond yield, monthly, from the OECD Main Economic Indicators long-term interest rate, retrieved via the FRED database (series family IRLTLT01). The OECD definition is harmonized: yields on 10-year government bonds, secondary market, single consistent methodology across countries. This avoids the most common pitfall in cross-country spread work, which is mixing on-the-run yields, par yields and basket averages. Data vintage: retrieved October 2026; the latest observation is August 2026 for most countries (July 2026 for Chile and Poland). Classifications: all yield and spread figures computed by the desk are Reconstructed; source quality is A (official harmonized source via FRED/OECD).

For independent verification, we cross-checked two anchor series against national sources obtained through the ElkassabgiData connector: the German series against the Bundesbank 9-10 year basket yield (correlation 0.997, mean absolute difference 22.5 basis points over 248 months, the gap reflecting basket-average versus 10-year benchmark methodology) and the Canadian series against the Bank of Canada 10-year benchmark yield (correlation 1.000, mean absolute difference 0.0 basis points). Both verifications use data retrieved October 2026.

4.2 Country coverage

Table 1 lists the 17 economies. The design goal was the five largest economies per region; Table 1 records where the design meets data reality. Several large economies are absent because no continuous 20-year monthly 10-year local-currency sovereign yield exists in any harmonized source: China, India, Brazil, Argentina, Turkey, Saudi Arabia, the United Arab Emirates, Egypt and Nigeria, among others. Some of these sovereigns issue primarily in foreign currency or have local curves that begin much later (Saudi Arabia's local-currency curve, for example, is too short for a 20-year comparison). We exclude them rather than splice incompatible series, and we report results only for the covered set. This is a limitation, stated plainly: Africa and the Middle East are represented by one country each, so the regional comparison is thinnest exactly where sovereign risk is most interesting.

Table 1: Country coverage and regional benchmarks

Region	Benchmark	Covered	Top-5 economies not covered
Americas	United States	US, Canada, Mexico, Chile	Brazil, Argentina
Europe	Germany	DE, UK, France, Italy, Spain, Belgium, Poland, Switzerland	Netherlands (series code unavailable), others
Asia-Pacific	Japan	Japan, Korea, Australia	China, India
Middle East	—	Israel	Saudi Arabia, UAE, Turkey
Africa	—	South Africa	Egypt, Nigeria

Notes: Benchmarks are the regional safe-haven issuer. Israel and South Africa are single-country observations; no intra-regional spread is computed for them. "Not covered" lists top-5 regional economies lacking a continuous 20-year harmonized 10-year local-currency series.
Source: OECD MEI via FRED, retrieved October 2026.

4.3 Sample and gaps

The sample runs January 2006 to August 2026 (248 months). Mexico's series has 63 scattered missing months (1-6 per year); Chile and Poland each miss one month at the end of the sample. We do not interpolate: charts break at gaps and annual averages use available months. Summary statistics for the spread panel appear in Table 2.

Table 2: Summary statistics: 10-year spreads vs regional benchmark (basis points), 2006-2026

Country	Mean	Std. dev.	Min	Max	N (months)
France	47	26	2	154	248
Italy	161	96	21	518	248
Spain	124	105	1	555	248
United Kingdom	108	47	23	226	248
Belgium	58	42	3	296	248
Poland	273	83	96	569	247
Switzerland	−88	68	−271	40	248
Canada	−38	36	−139	53	248
Mexico	455	92	246	671	185
Chile	227	86	73	476	247
Korea	262	85	120	451	248
Australia	295	98	76	499	248

Notes: Spreads in basis points against the regional benchmark (US, Germany or Japan). Standard deviations are of monthly spreads. All figures Reconstructed, A.
Source: OECD MEI via FRED; desk computations.

5 Methodology

The spread for country i in month t is

$$s_{i,t} = (y_{i,t} - y_{b(i),t}) \times 100, \tag{1}$$

where y is the 10-year yield in percent and $b(i)$ is the regional benchmark, expressed in basis points. Annual figures are means of available monthly spreads. Peaks are monthly maxima. Changes are reported as differences in basis points between the 2006 annual average and the August 2026 observation (July 2026 for Chile and Poland).

This is a retrospective measurement exercise; there was no pre-registered plan. We report no regressions and no causal estimates. Every number in the results section is either read directly from the panel or computed by the arithmetic above.

6 Results

6.1 Europe: a permanent repricing

Figure 1 plots monthly spreads against Germany. The pre-2008 regime is striking: France averaged 3 basis points over Germany in 2006, Spain 2, Belgium 5 (Reconstructed, A). The market priced these sovereigns as nearly interchangeable with the Bund. That regime did not survive the financial crisis, and it never returned.

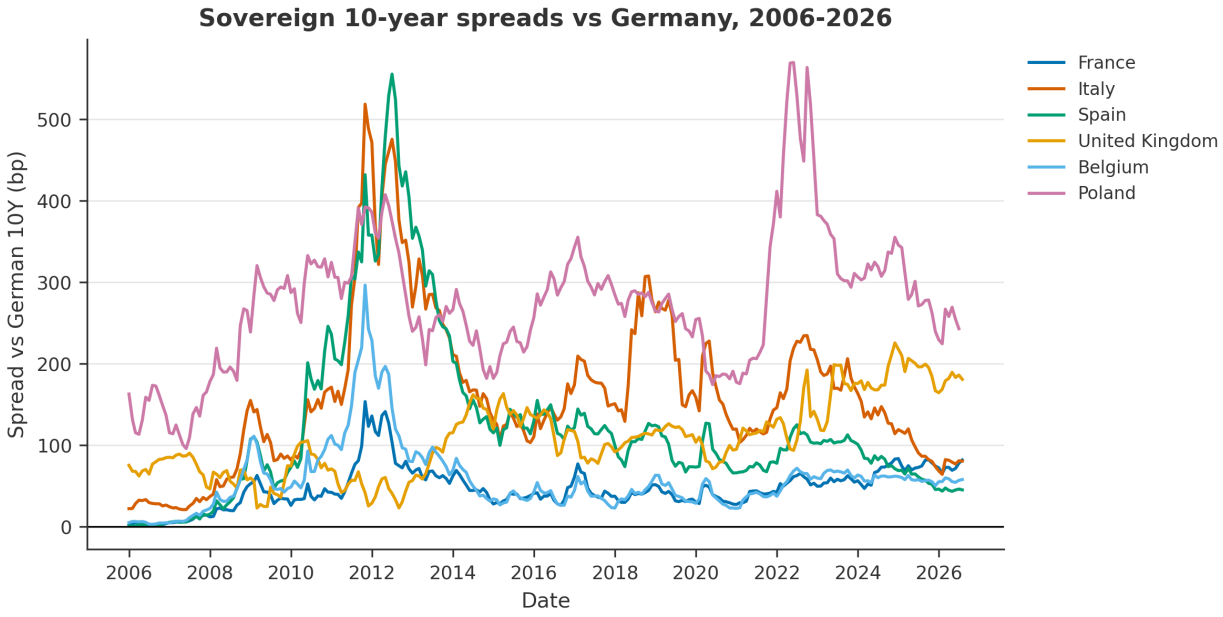


Figure 1: Monthly 10-year sovereign spreads vs Germany, 2006-2026. France, Italy, Spain, Belgium, the United Kingdom and Poland.

The euro crisis produced the sample's largest spikes: Italy reached 518 basis points in November 2011 and Spain 555 in July 2012 (Reconstructed, A). France peaked at 154 basis points in November 2011. ECB intervention compressed spreads from 2012, but the compression stopped well above pre-crisis levels. In August 2026 France trades at 82 basis points over Germany, 79 wider than its 2006 average; Italy at 81 (53 wider); Spain at 45 (43 wider); Belgium at 58 (53 wider), all Reconstructed, A. Figure 5 shows the 2006-versus-2026 comparison across the panel.

The United Kingdom deserves separate attention. Its spread averaged 74 basis points in 2006, already the widest of the core group, and now stands at 181 basis points, a 107-basis-point widening (Reconstructed, A), with a 20-year peak of 226 basis points in December 2024. The timing implicates two repricings: the post-Brexit period and the 2022 gilt-market turmoil, after which the spread ratcheted to a higher plateau rather than mean-reverting.

Poland, the only EU-but-not-euro member in the panel, trades structurally wide (mean 271 basis points) with a peak of 569 in June 2022 during the inflation shock and the war in Ukraine (Reconstructed, A). Switzerland is the mirror image: a usually negative spread averaging about -90 basis points that reached -271 in August 2026, the secondary safe haven discount near its widest as the franc's appeal rose.

6.2 Americas: episodic spikes on a wider base

Figure 2 shows spreads against the United States. Canada's negative spread deepened from -58 basis points in 2006 to -100 in August 2026 (Reconstructed, A), a smaller-scale version of the Swiss phenomenon: the market pays up for the calmer neighbor. Mexico's spread widened from 360 to 448 basis points (Reconstructed, A), with a 20-year peak of 671 in April 2020 when oil prices collapsed and pandemic outflows hit emerging markets jointly. Chile peaked at 476 basis points in October 2021 (Reconstructed, A), an episode tied to domestic constitutional and pension-fund politics rather than global risk appetite, which illustrates the paper's recurring point that the largest spikes are often local.

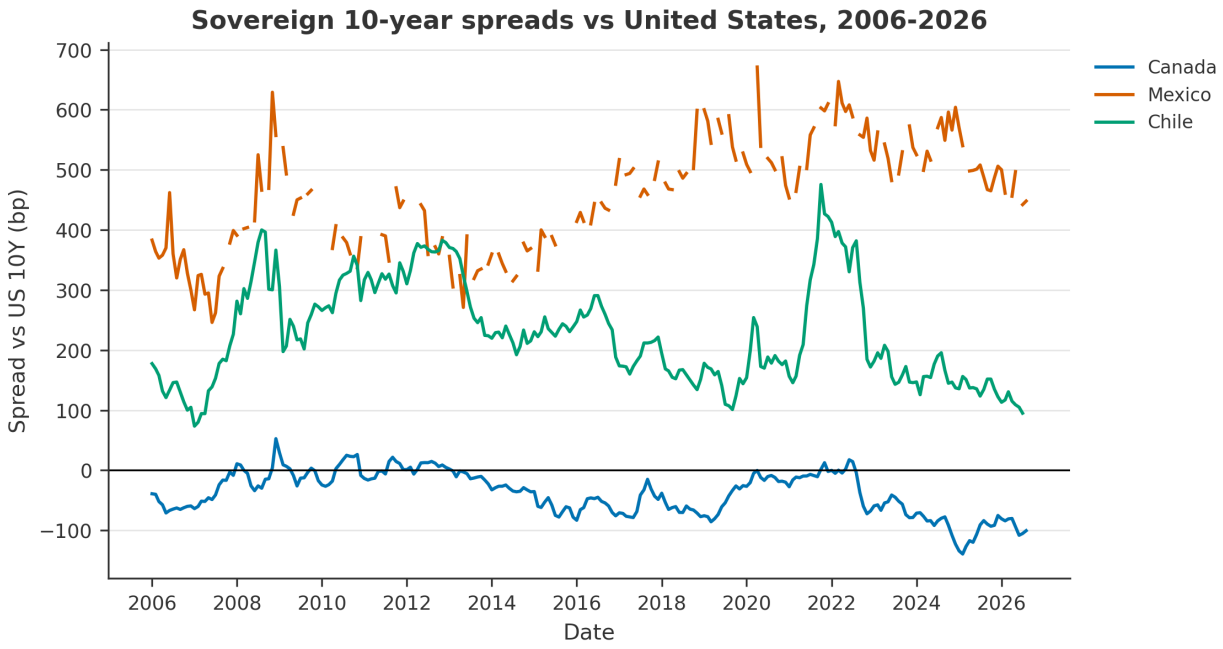


Figure 2: Monthly 10-year sovereign spreads vs the United States, 2006-2026. Canada, Mexico and Chile. Mexico's series has scattered missing months; the line breaks at gaps.

6.3 Asia-Pacific: the great compression

Figure 3 shows the sample's most dramatic structural move, and it runs opposite to Europe's. Korea's spread against Japan averaged 341 basis points in 2006 and stands at 135 today, a 206-basis-point compression; Australia's fell from 385 to 207, a 178-basis-point compression (Reconstructed, A). The driver is visible in Figure 4: Japanese 10-year yields rose from near zero under yield-curve control to 2.94 percent in August 2026 (Observed, A) as the Bank of Japan normalized policy. When the benchmark yield rises toward the rest of the region, spreads compress mechanically. This is the identification problem from Section 2 in its purest form: the narrowing says more about Japan than about Korea or Australia.

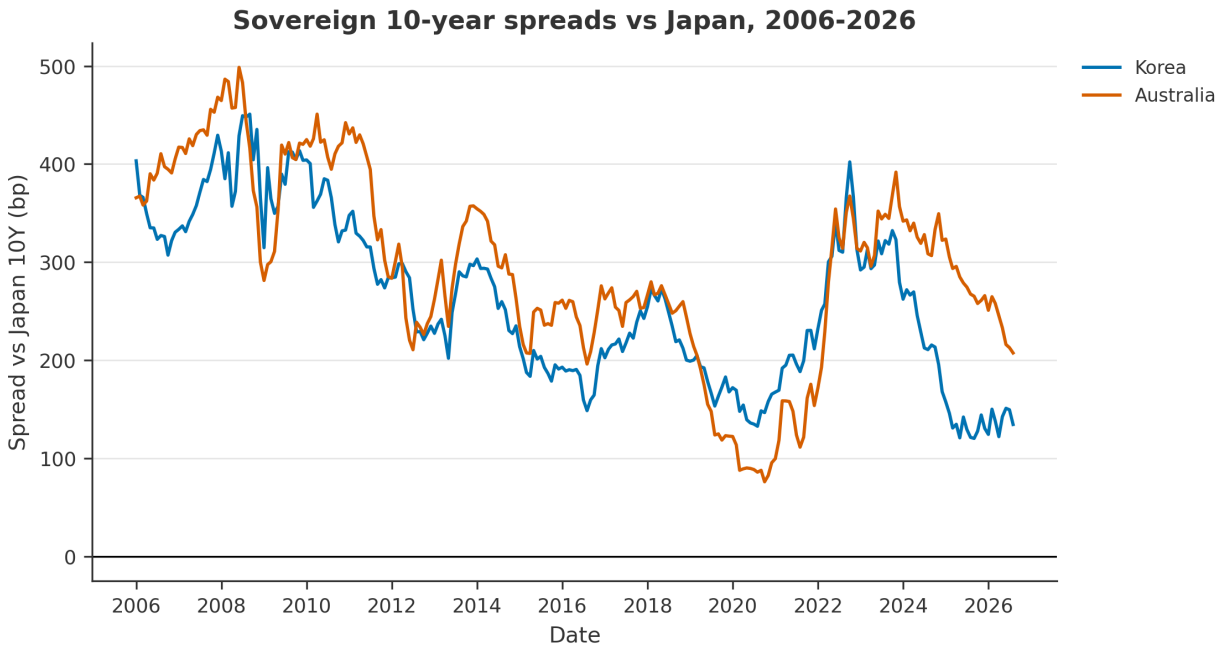


Figure 3: Monthly 10-year sovereign spreads vs Japan, 2006-2026. Korea and Australia.

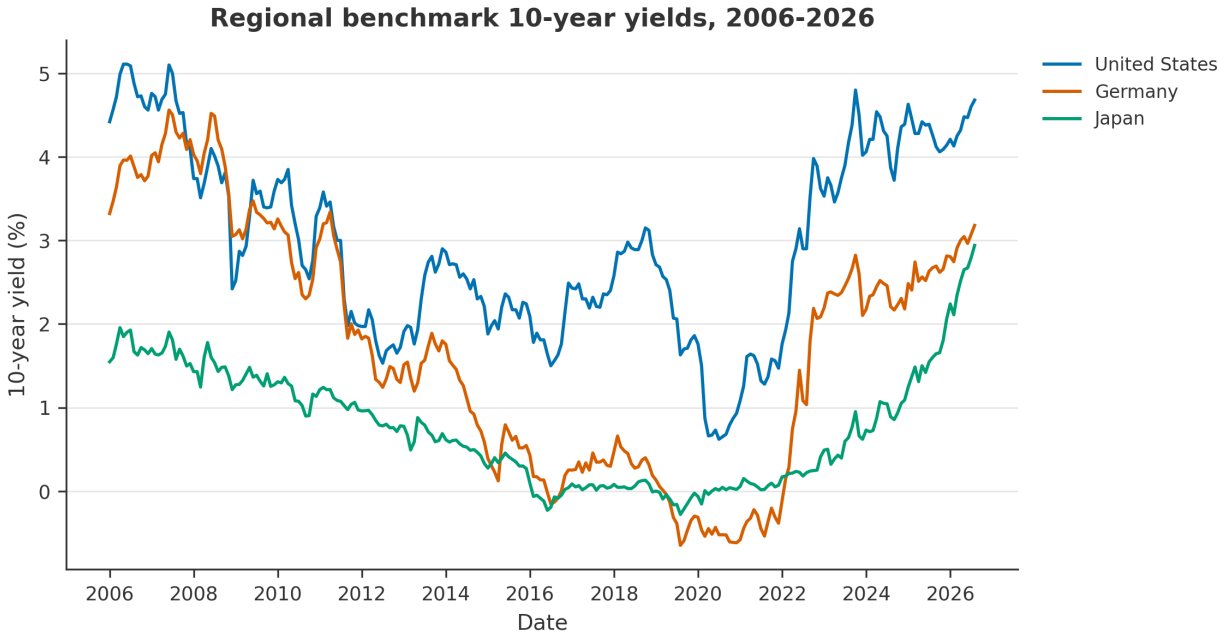


Figure 4: Regional benchmark 10-year yields, 2006-2026. The normalization of Japanese yields after 2022 mechanically compressed Asia-Pacific spreads.

6.4 The widening, summarized

Figure 5 places every covered spread on the same scale: the 2006 annual average against August 2026. The European core (France, Belgium, Spain, Italy, the United Kingdom) widened by 43 to 107 basis points. Mexico widened by 88. Korea and Australia compressed by roughly 200 and 180. Canada and Switzerland, the two negative-spread safe havens, saw their discounts deepen.

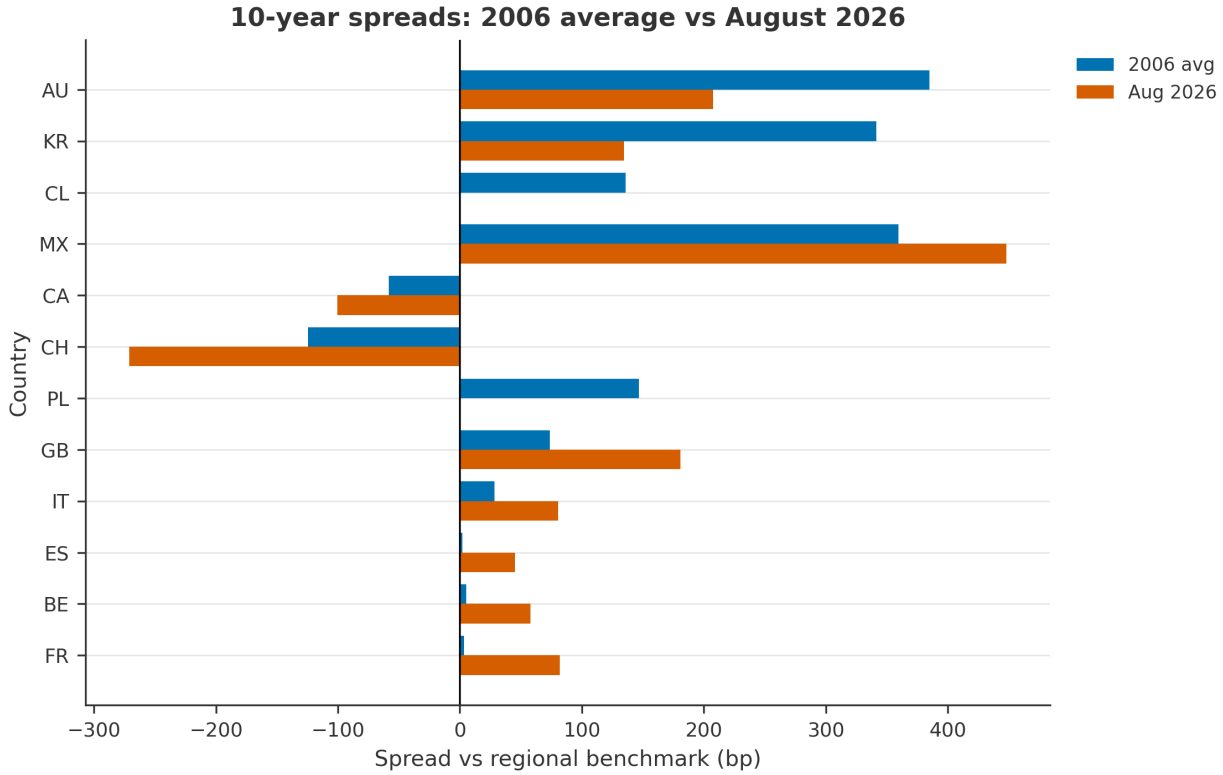


Figure 5: Ten-year spreads vs regional benchmark: 2006 annual average against August 2026 (July 2026 for Chile and Poland). CH is Switzerland.

The cross-regional lesson is that there is no global trend in spreads. A single-factor model of sovereign risk would predict spreads moving together; instead, Europe structurally widened, Asia-Pacific structurally compressed, and the Americas spiked episodically around a modestly wider base. The common element is that 2006-2007 pricing, which treated most of these sovereigns as near-substitutes for their benchmark, looks in retrospect like the anomaly, not the norm.

7 Limitations, robustness and falsifiability

Four limitations matter. First, coverage. The panel excludes China, India, Brazil and most of Africa and the Middle East for lack of continuous harmonized data, so the "global" framing is really a 17-country framing weighted toward advanced economies. Any conclusion about emerging-

market spread dynamics rests on Mexico, Chile, Poland and South Africa's benchmark role alone, which is thin.

Second, the spread conflates issuer risk and benchmark demand, as Section 2 discusses. The Asia-Pacific compression is the clearest case: it is mostly Japan moving, not Korea or Australia improving. A robustness check that would separate the two is to decompose spread changes into benchmark-yield changes and issuer-yield changes; the arithmetic is trivial and we report the benchmark leg in Figure 4, but a full attribution is left open.

Third, harmonization is not identity. The OECD series is one methodology, but national 10-year benchmarks differ in issuance calendars and liquidity, and Mexico's 63 missing months reduce precision for that country. Our verification against Bundesbank and Bank of Canada series bounds this concern for the anchors (correlations 0.997 and 1.000), but we did not verify every country.

Fourth, this is measurement, not causation. We do not estimate what caused any spread move; the crisis labels in the text are market-chronology associations, not identified effects.

Falsifiability. The central claim is that euro-area spreads underwent a permanent post-2008 repricing rather than a temporary spike. It would be weakened if, over the next five years, French, Spanish, Belgian and Italian spreads returned to and held their 2006 levels (under 30 basis points) without a change in ECB purchase policy that mechanically compresses them. The Asia-Pacific compression claim would be weakened if Japanese yields fell back under 1 percent while Korea and Australia's spreads stayed narrow, which would show the compression was about issuer improvement after all. This is a retrospective analysis; there was no pre-registered plan.

8 Conclusion

Twenty years of consistently measured 10-year spreads tell three regional stories. In Europe, the pre-2008 near-zero differentiation between core sovereigns and Germany is gone and has not come back; France, Italy, Spain, Belgium and especially the United Kingdom trade structurally wider, by 43 to 107 basis points against their 2006 averages. In the Americas, spreads spiked violently around global and local shocks but the structural drift is modest, with Mexico about 88 basis points wider. In Asia-Pacific, spreads compressed by roughly 200 basis points as Japanese yields normalized. The safe-haven discounts of Switzerland and Canada deepened throughout.

For the practitioner question that motivated this paper, whether a spread moving from 50 to 100 basis points means the issuer got riskier, the evidence counsels humility: sometimes it does (France 2024, the United Kingdom post-2022), sometimes the benchmark moved (Japan after 2022), and sometimes the world got scarier for everyone at once (2008, 2020). The spread is a relative price. Read both legs.

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rendered with Kilambi Research's institutional chart style. Data were retrieved in October 2026 and are subject to revision by the underlying sources. All analysis was performed by Kilambi Research's quantitative research pipeline with AI assistance and verified against source data.

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A Data appendix

Verification series (ElkassabgiData connector, retrieved October 2026): Bundesbank series BBK-BBSIS 9-10 year Umlaufsrendite, monthly, 1973-04 to 2026-05; Bank of Canada series BD.CDN.10YR.DQ.YLD, daily, 2001-01-02 to 2026-10-01.

Table 3: Series inventory

Country	FRED series	Range	Data through
United States	IRLTLT01USM156N	1953-04 to 2026-08	2026-08-01
Canada	IRLTLT01CAM156N	1955-01 to 2026-08	2026-08-01
Mexico	IRLTLT01MXM156N	2001-07 to 2026-08	2026-08-01
Chile	IRLTLT01CLM156N	2004-07 to 2026-07	2026-07-01
Germany	IRLTLT01DEM156N	1956-05 to 2026-08	2026-08-01
United Kingdom	IRLTLT01GBM156N	1960-01 to 2026-08	2026-08-01
France	IRLTLT01FRM156N	1960-01 to 2026-08	2026-08-01
Italy	IRLTLT01ITM156N	1991-03 to 2026-08	2026-08-01
Spain	IRLTLT01ESM156N	1980-01 to 2026-08	2026-08-01
Poland	IRLTLT01PLM156N	2001-01 to 2026-07	2026-07-01
Belgium	IRLTLT01BEM156N	1955-01 to 2026-08	2026-08-01
Switzerland	IRLTLT01CHM156N	1955-01 to 2026-08	2026-08-01
Japan	IRLTLT01JPM156N	1989-01 to 2026-08	2026-08-01
Korea	IRLTLT01KRM156N	2000-10 to 2026-08	2026-08-01
Australia	IRLTLT01AUM156N	1969-07 to 2026-08	2026-08-01
Israel	IRLTLT01ILM156N	1997-01 to 2026-08	2026-08-01
South Africa	IRLTLT01ZAM156N	1957-01 to 2026-08	2026-08-01

Notes: All series are the OECD Main Economic Indicators harmonized 10-year government bond yield, monthly, retrieved via FRED October 2026. Analysis sample is January 2006 to August 2026.

Source: FRED, Federal Reserve Bank of St. Louis; original source OECD.